other Asian countries in Beijing to sign a Memorandum of Understanding (MOU) to establish the AIIB in October 2014, resulting in India now being the second-largest shareholder of the Bank – from which it hopes to borrow for its development projects.[72] In June 2016, the AIIB Board approved its first four project loans, including one for highway construction in Pakistan, co-financed with the European Bank of Reconstruction and Development. Indeed, India is now the largest borrower from the AIIB. India also partnered China, along with other Brazil, Russia, and South Africa (BRICS), in setting up the New Development Bank (NDB), headquartered in Shanghai. India is also part of the Kunming Initiative, or the Bangladesh-China-India–Myanmar (BCIM) Forum for Economic Cooperation corridor, connecting Kunming with Kolkata.

Ideally, an Asia-wide economic union is what will lay the parameters of a secure Indo-Pacific, but it will require more work to preclude military confrontation or conflict by constructing a stable security architecture in the region. At least in the short to medium term, ensuring balance of power will be important in enabling peace and stability in the Indo-Pacific.

Balance of power

Throughout the post-Cold War period, international relations scholars have discussed if it is a multipolar, bipolar, or unipolar hegemonic international system that brings the highest degree of stability to Asia. Aaron L. Friedberg argued in the early 1990s that Asia was ripe for rivalry and that "Europe's past could be Asia's future."[73] He based his argument on research showing how a multipolar system with several great powers had contributed to conflict in Europe[74] and stated that in the long run, Asia seemed more likely to be the cockpit of great power conflict than Europe, due to a